Commitment Problems and Institutions

Exxon on Venezuela: Not a Third Time

"We first got into Venezuela back in [the] 1940s, we've had our assets seized there twice," Woods added. "And so you can imagine, to re-enter a third time would require some pretty significant changes from what we've historically seen here and what is currently the state."

The Exxon chief said companies would need to carefully assess the potential for returns before making any commitments to invest in Venezuela.

"The questions will ultimately be how durable are the protections from a financial standpoint? What do the returns look like? What are the commercial arrangements, the legal frameworks?" Woods said.

"All those things have to be put in place in order to make a decision to understand what your return would be over the next several decades, that these billion dollar investments will be made on."

Today's idea

Having discretion is often good for leaders and society ex post

Knowing discretion will be used later changes incentives now

Credibly removing future discretion is beneficial ex ante

Outline

Commitment Problem and Ex post v Ex ante efficiency

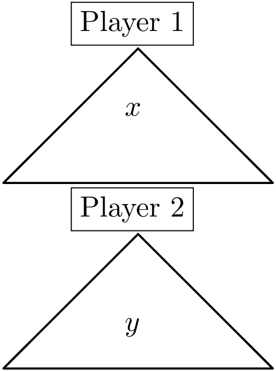
Solutions

- Separation of Powers
- Rules over discretion
- Delegation of tasks

Commitment problem in private sector

Key Take Aways

Recall the Trust Game from API



$10 - x + y$
$2x - y$

Player 1 makes an **investment** $x \in [0, 10]$ that is doubled

Player 2 chooses how much to **return** to Player 1: y

SPNE:

Player 2 always returns $y^* = 0$

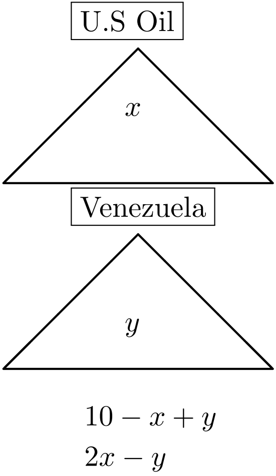
Player 1 invests $x^* = 0$

Payoffs are $(10, 0)$

If Player 2 could commit to return $1.5x$, payoffs would be $(15, 5)$

Pareto efficient outcome not achieved due to inability to commit

Venezuelan commitment problem



$x \in [0, 1]$ is investment needed to produce $2x$ of oil

$y^* = 0$: Venezuela nationalizes production

$x^* = 0$:U.S. oil companies do not invest

The U.S. oil companies and Venezuela are **worse off** because Venezuelan government cannot commit to not nationalize in the future

Venezuela may desire to limit its discretion in credible way

General Commitment Problem for leaders

A leader promises to pursue certain policy

If believed, this promise incentivizes citizens/firms/other governments to take "good" action

Ex post, the government prefers to renege on its promise

Promises are not believed and inefficient outcome arises

Restricting leader's discretion can make those promises credible

Credible commitment can benefit the society and the leader

Famous example: Monetary Policy (you will see a formal model in micro)

The government controls the amount of money in the economy

Expected increase in money supply leads to inflation (bad)

- Producers expect people have more money and raise prices

Unexpected increase in money stimulates production (good)

- Producers see people buying more and think their goods are more in demand

Monetary Policy Continued

Ex ante, the government promises not to increase the money supply to avoid inflation

Ex post, government has an incentive to increase money supply to increase production—good for economy & helps win election

People anticipate an increase in money supply $\Longrightarrow$ inflation

Desired solution: credible commitment not to increase the money supply

General pattern

Ex post: The leader (and sometimes the society) prefers discretion

Ex ante: Society (and often the leader herself) benefits from commitment

Monetary Policy

Ex ante: Government wants to promise to not print money

Ex post: Once people expect that, government has incentive to print money

Result: Anticipation of future money printing $\rightarrow$ inflation

Capital taxation

Ex ante: Government wants to promise low capital taxes to encourage investment

Ex post: Once capital is installed and immobile, government wants to tax it heavily

Result: Anticipation of future taxation $\rightarrow$ underinvestment

Regulation

Ex ante: Government wants firms to invest (in energy, infrastructure, R&D)

Ex post: After investment is sunk, government wants stricter regulation, price controls, higher compliance costs

Result: Underinvestment

Note 1: Even if stricter regulation ex post is beneficial to society, the fear of this regulation leads to distortion that harms the society

Note 2: Commitment not to over regulate can help the society even if the leader's preferences are perfectly aligned with the society's preferences (benevolent leader)

Bailouts

Ex ante: Government wants to promise not to bail out underperforming cities, banks, or large firms

Ex post: Government has an incentive to do so to avoid unemployment or economic crisis

Result: Anticipation of future bailout → less prudent decision making

Note 1: Even if bailout benefits the society ex post, the anticipation of bailout makes the need for bailout more likely

Note 2: Commitment not to over regulate can help the society even if the leader is benevolent!

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Separation of Powers

Separation of powers introduces many veto players with differing preferences

This makes changes to the status quo hard

This limits leaders' future discretion

Note: Previously we have discussed how separation of powers prevents a power abuse. Now we are saying that it improves outcomes even if the leader is benevolent

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Rules over discretion

Rules: Restrictions on future policies or policies specified in advance

Example: Fiscal rules

Many governments have rules limiting its borrowing

Examples:

California's Constitution (Article IV, Section 12) mandates a balanced budget

German's constitutional rule *Schuldenbremse* limits structural budget deficits to 0.35% of GDP for the federal government (Can be suspended in emergencies)

China's Budget Law requires local budgets to be balanced

Cost of fiscal rules

Fiscal needs vary over time

- Need for investment is not constant

Borrowing costs vary over time

Ex post it may be efficient to run a deficit when borrowing costs are low and need for investment is high

But allowing deficits may lead to overspending **ex ante**

Example: Monetary Policy

Rules specifying the target inflation or how monetary policy should respond to economic indicators

Examples:

The Taylor rule prescribes how interest rates should respond to inflation deviations from target or unemployment

Fixed exchange rates

Cost of monetary rules

Optimal monetary supply depends on many unobserved, unmeasurable or unanticipated factors

- There may be shocks to the economy that ex post justify increasing the money supply
- These shocks are cannot be incorporated into a rule ex ante

Fixed exchange rates removes country's ability to respond to domestic shocks

But not following a rule leads to inflation

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Delegation of Tasks

Delegation of policy making to someone with different preferences or incentive structure that mitigate incentives to renege ex post on promises

Example: Independent Central Bank

Many countries delegate monetary policy to an independent central bank

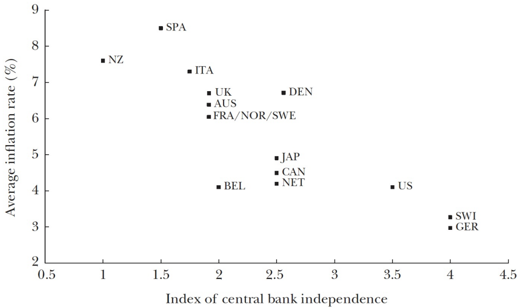
- Chairs cannot be fired at will
- Financial independence

Central banks have different preferences and incentives than governments

- Central bankers are not subject to election and do no benefit from pre-election artificially stimulated economy
- Many central banks have explicit mandate to **fight inflation**
- It is in the interest of governments to appoint **hawkish** central bankers

Central Bank Independence and Inflation

Central Bank Independence vs. Average Rates of Inflation in 16 Countries, 1973–88



Source: Alesina and Summers (1993).

Higher value of the index means higher independence

Reagan and Volcker

President Carter appointed an inflation hawk Paul Volcker

President Ronald Reagan publicly supported Volcker and reappointed him in 1983

At the same time, Reagan pressured Volcker not to raise interest rates prior to the midterm elections in 1982

Example: Independent Regulatory Agencies

Many countries delegate extensive regulatory policies to independent agencies

Example:

The Federal Communications Commission (FCC) holds significant authority over communication: radio, television, wire, satellite, and cable

Is designed as an independent regulatory agency

- Structured to be bipartisan with staggered 5-year terms to minimize political influence

Institutions in Emergencies

During emergencies discretion is valuable

Leaders may use those to remove constraints—change institutions

Tempting, but disastrous in the long term

Venezuela one more time

By Simon Romero

Jan. 29, 2026

Leer en español

Venezuela's National Assembly on Thursday approved a sweeping overhaul of legislation governing the oil industry, granting foreign oil companies greater control over operations and potentially slashing the royalties they pay to the government.

doing so in Venezuela's legal system. Still, the changes did not go as far as some investors had wanted, leaving Petróleos de Venezuela under state control instead of breaking it up or privatizing it.

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Hold-up Problems

A famous example of commitment problem in private sector is a hold-up problem

One party makes a **relationship-specific investment** (a **sunk** cost)

- Client specific product
- Firm specific human capital

The other party then exploits its **increased bargaining power** to demand better terms

Hold-up Problems

Institutional solution to hold up problem

Long-term contract

Fixed price with no renegotiation clause

Delegation of dispute resolution to a third party

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Ex post, unconstrained power and discretion may allow for

- Faster crisis response
- More flexible policy

Ex ante, discretion

- Changes private behavior in an undesirable way

Institutions that bind leaders' discretion ex post may be beneficial ex ante